TESG Sustainable Development Indicators: ESG indicators exclusively for Taiwanese companies!

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Keyword tags:

ESG | SASB | TESG Sustainable Development Indicators | Quantitative research



After much anticipation and refinement, the ESG indicator specifically for Taiwanese companies has officially launched! Specifically designed to demonstrate corporate ESG performance for " **responsible credit** " and " **responsible investment ," TEJ, leveraging over 10 years of research and expertise in corporate social responsibility and incorporating quantitative analysis techniques , completed the ESG assessment indicator for listed companies in Taiwan – the 【 TESG Sustainability Indicator】** – at the end of the first quarter of 2022 !

gained international recognition, TEJ also incorporated information on the eight dimensions of CSR into its framework based on ISO 26000 and KLD in 2015. The CSR database launched in 2020 focuses on the ESG framework, providing useful assessment indicators. In the same year, the Green Finance 2.0 announcement was issued, and regulatory authorities established more rules for responsible investment and credit extension in the financial industry. TEJ also began developing ESG indicators specifically for Taiwanese companies. After a year and a half of effort, the TESG Sustainability Indicators were officially launched in the first quarter of this year!

The TESG Sustainability Indicators cover all publicly listed companies in Taiwan. The variables measured include sustainability reports (formerly known as corporate social responsibility reports or CSR reports), annual shareholder reports, and other publicly available information, such as information related to the Labor Standards Act of the Ministry of Labor, ISO or GMP certifications of products, and negative news related to social responsibility, in order to fill the gap that most companies do not disclose sustainability reports.

This article provides a sneak peek at the key research and development areas for the TESG sustainability indicators, which are set to be released at the end of the first quarter:

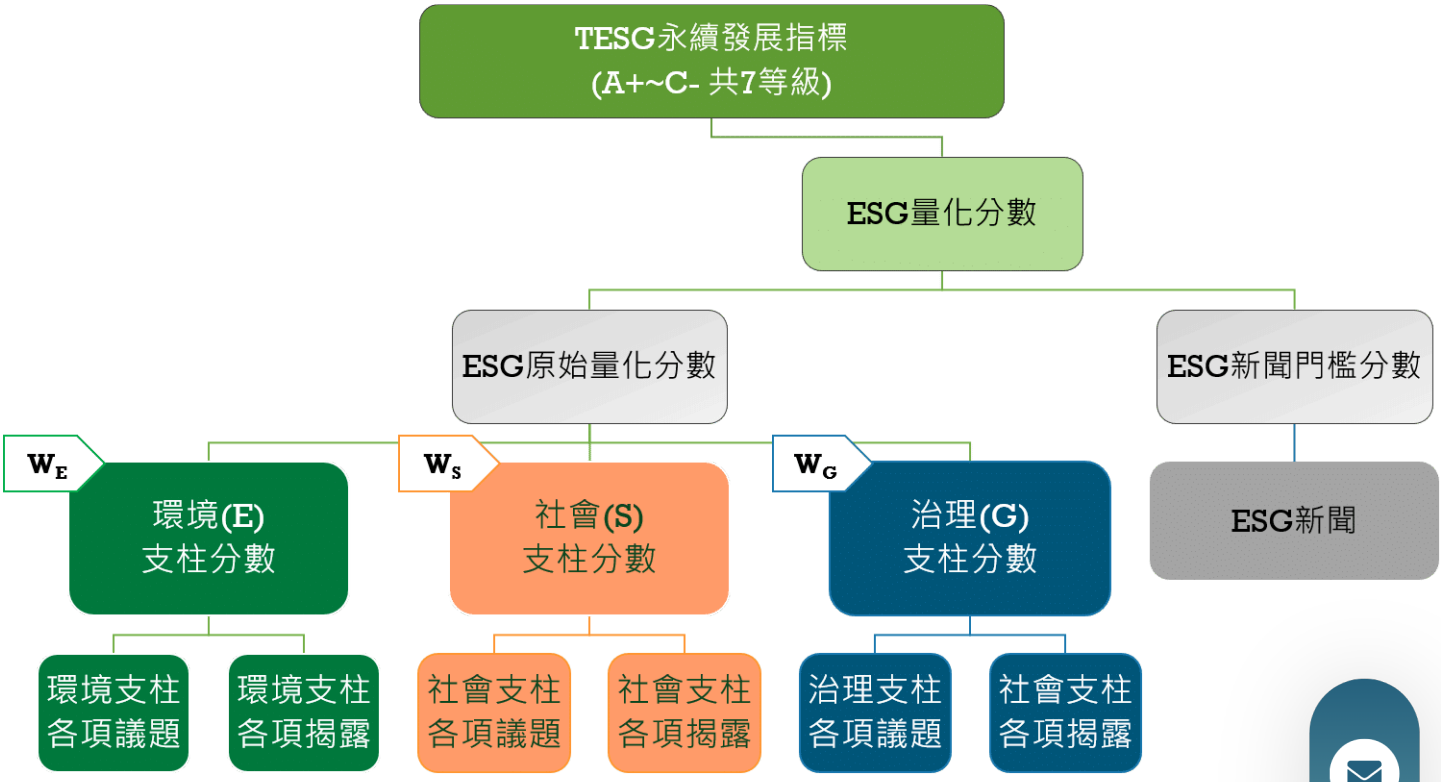
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Research and development focus

standards

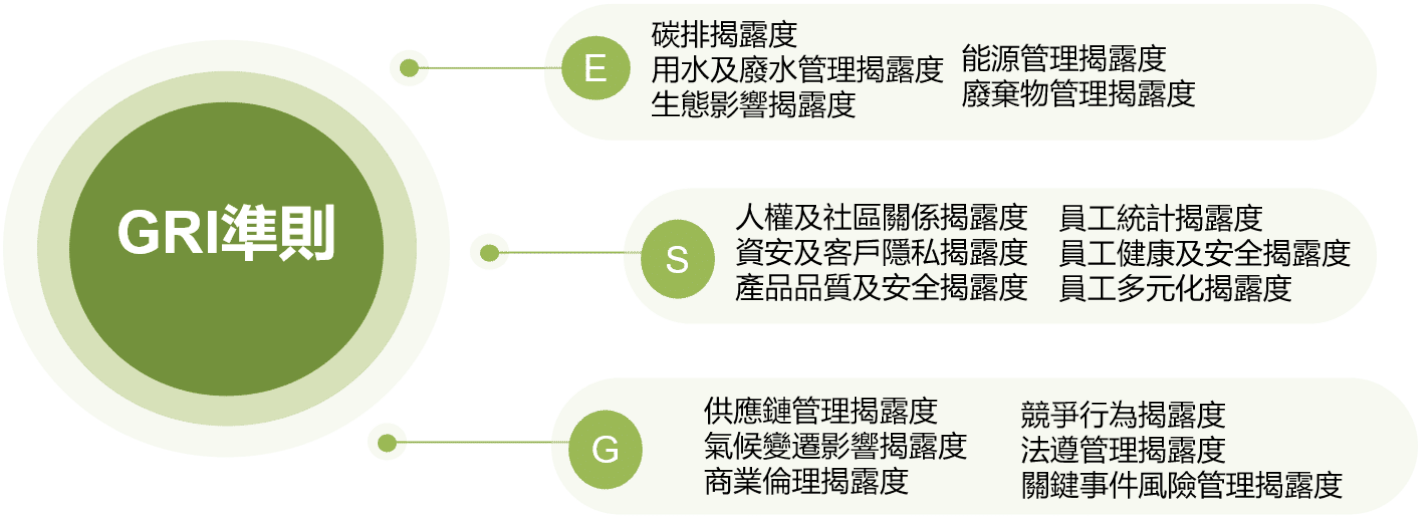
There are various methods for developing indicators (such as expert judgment, semi-expert judgment, and quantification), but the TESG indicator is **a fully quantifiable indicator** . The establishment of a quantifiable indicator relies heavily on a large database. Besides ensuring data accuracy, the key is to identify representative ESG variables. The variables selected for the TESG sustainability indicator follow GRI principles and are combined with information available in the Taiwan market to establish **three pillars and 16 themes** . These 16 themes include the identification of quantifiable variables and the degree of information disclosure. The more detailed a company's ESG information disclosure, the more likely it has planned or implemented ESG improvements. If a company's disclosure has been confirmed, affirmed, or guaranteed by accountants or third parties, it will achieve an even higher rating.



The TESG Sustainable Development Indicators consist of three pillars and 16 th

Even Without a CSR Report

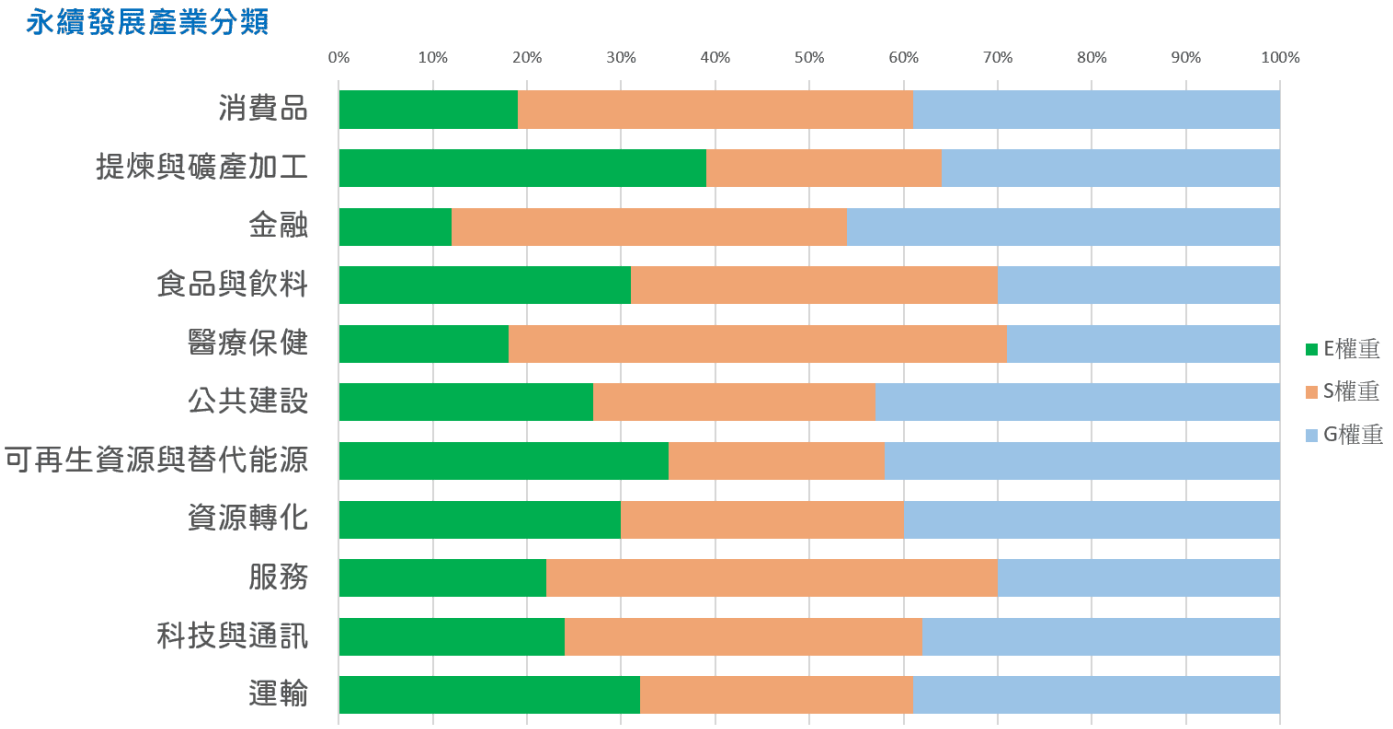
To establish a set of ESG indicators specifically for publicly listed companies in Taiwan, considering that most companies are not yet required or proactively compile CSR reports (even if they do disclose them, the content is not standardized), the data collection scope includes not only CSR reports and annual shareholder reports, but also other external information such as **ISO certification/product GMP certification/joining international initiatives** , or disclosures related to **employee benefits from the Ministry of Labor** , which can also corroborate the degree of implementation of the company in various aspects of ESG. In this way, even if the company does not compile a CSR report, quantitative indicators can be generated through the collection of other data.



GRI Guidelines

Research and Development Focus 3: Introducing ESG Weights for Different Industries Based on Sustainable Development Industry Classification

based on 11 sustainable development industry standards, assigning different weights to E, S, and G across industries. For example, Taiwan Cement belongs to the [Refining and Mineral Processing] industry within the Sustainable Development Industry category. Therefore, its carbon emissions and resource usage will not be compared to Cathay Financial Holdings, a financial institution, and the two companies will be scored using different ESG weights.



Sustainable Development Industry Classification

Significance of TESG Sustainable Development Indicator Levels

The TESG development index is divided into seven levels and three groups: **leadin average, and lagging** . By understanding their own level position, companies can y understand their strengths and weaknesses compared with other companies in the level. They can also understand the ranking of their scores in the E/S/G pillars with e same industry and which pillar score is worse. This is helpful for comparing detailed

量化 等級	等級 相對意涵	等級 說明
A+	領先	企業在ESG行動執行程度較領先，為產業典範
A	領先	
B+	平均	企業在ESG執行程度中等，或因部分資訊未揭露所以落在平均值
B	平均	
B-	平均	
C	落後	企業在ESG執行程度待加強，或因多數資訊未揭露，使分數較落後
C-	落後	

TESG Sustainability Indicators: Quantitative Levels, Meaning, and Explanation

A robust TEJ database + quantitative analysis technology = TESG sustainable development indicators

Following the launch of Green Finance 2.0, the Taiwan Corporate Sustainability Development Association surveyed 51 Taiwanese financial institutions (financial holding companies, banks, securities firms, investment banks, and insurance companies) that have signed due diligence governance codes, completing Taiwan's first large-scale sustainable finance survey. The survey revealed that, regarding limitations in applying ESG to decision-making processes, a staggering 84.4% of respondents cited **insufficient quantitative** ESG information as the biggest constraint. Insufficient ESG information related to financial significance and the excessively high cost of obtaining ESG information were also significant challenges for financial institutions in implementing ESG practices. TEJ's TESG sustainability indicators address these pain points by integ the difficulties currently faced by financial institutions in promoting responsible investment and responsible lending.

1. Comprehensive coverage – including listed companies, OTC companies, emergi market companies, and publicly traded companies in Taiwan.

is possible even without a CSR report?

◆ By addressing the above pain points, we help you save time and effort, and conduct more accurate ESG assessments! ◆

◆ For more information on TEJ's TESG sustainable finance solutions, please refer to the TESG website ! ◆

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